



OREGON
HEALTH
AUTHORITY

Fiscal and Operations Division
Financial Investments and Outcomes Office

2025-27

Budget Summary

For OHA's Legislatively Adopted Budget



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Overview

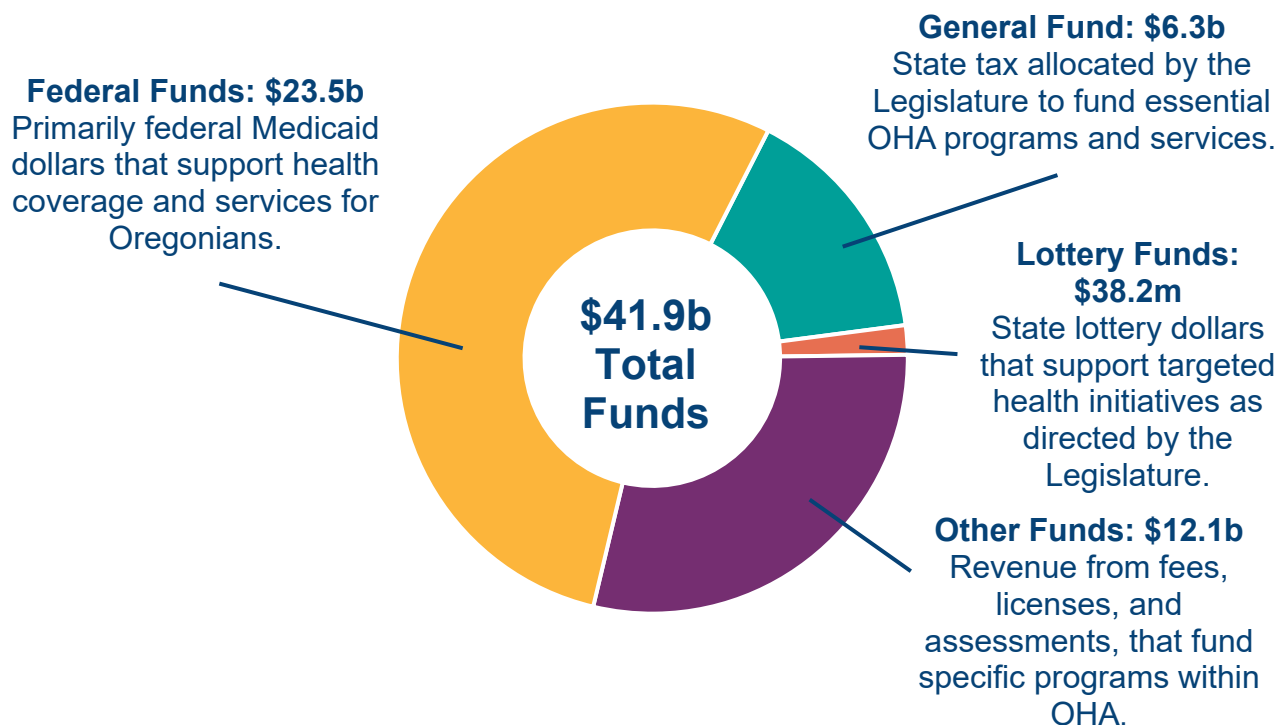
The Oregon Health Authority (OHA) is committed to ensuring people and communities across the state can access the mental, physical, and social health resources they need. Grounded in equity, access, and accountability, OHA is working toward the goal of eliminating health inequities in Oregon by 2030. For the 2025-27 biennium, the Legislatively Adopted Budget (LAB) totals \$41.9 billion, supporting 5,997 positions. This is about an 11 percent increase over the previous biennium, mostly to cover increased medical assistance caseloads and inflation. These investments provide stability for more than 1.4 million Oregonians on the Oregon Health Plan, ensure continued progress of reproductive and tribal health, and advance [OHA's Strategic Plan](#). The budget addresses urgent needs today while building a healthier, more equitable Oregon for the future.

Key Achievements and Funding Highlights

- Medicaid funding for 1.4 million people on the Oregon Health Plan (OHP) and full funding for the 100,000 Oregonians in the Healthier Oregon program.
- A major update to the civil commitment and Aid & Assist processes.
- Continued funding for reproductive healthcare to support Oregonian patients and providers, as well out-of-state patients seeking care in Oregon.
- Health data sharing with the Nine Federally Recognized Tribes in Oregon and Native Services at the Oregon State Hospital.
- Continued and expanded investments to serve the behavioral health needs of all people in Oregon.

How the Budget is Funded

2025-27 Budget by Fund Type



Changes from 2023-25 to 2025-27



General Fund

Increased by \$522 million (+9%) primarily due to investments in Behavioral Health services, stabilization services for the State Hospital, inflationary adjustments, and caseload increases.



Federal Funds

Increased by \$2.6 billion (+13%) reflecting primarily increased federal matching funds for Medicaid.



Other Funds

Increased by \$894 million (+8%) due to increased hospital and insurers' assessments and program fees.

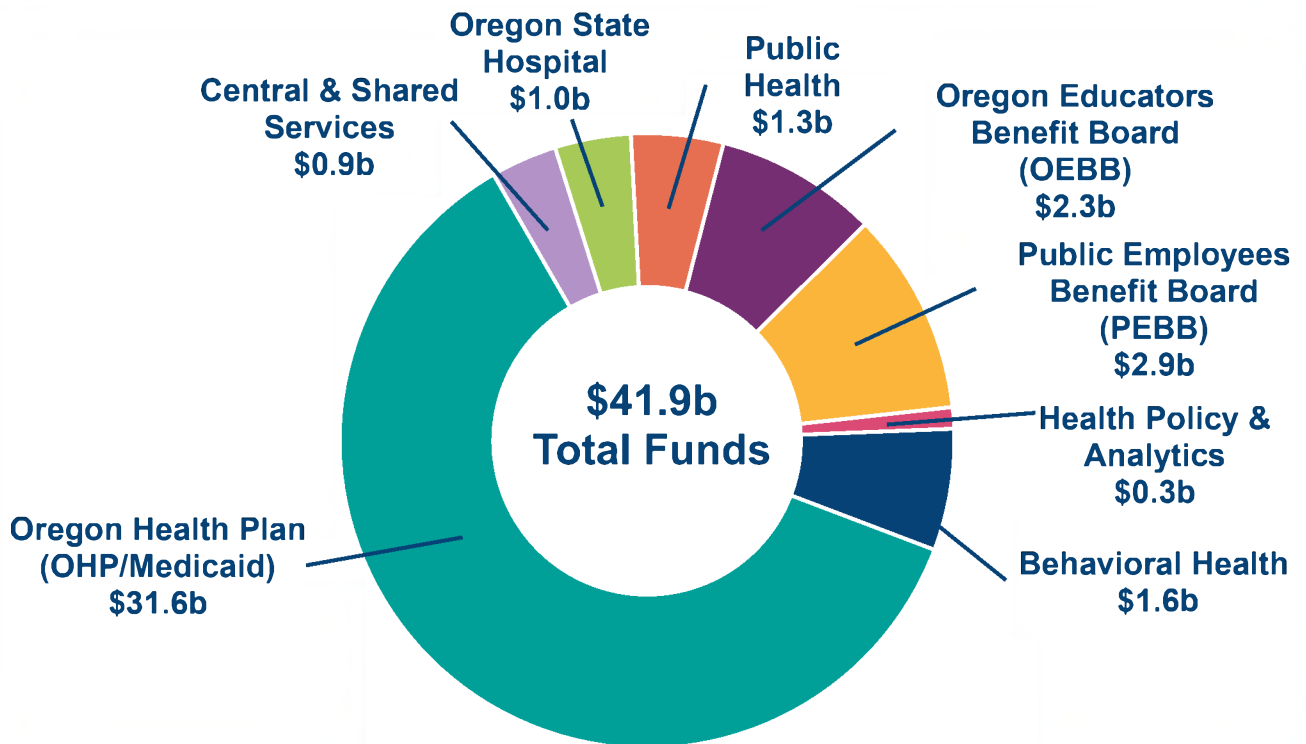


Lottery Funds

Increased by \$8.5 million (+29%) reflecting changes in lottery revenue allocations.

How Budget is Allocated Across Divisions

2025-27 Budget Allocation by Division



Division Budget Comparison in Millions

OHP/Medicaid		\$31,631.18
Behavioral Health		\$1,647.05
Health Policy & Analytics		\$277.45
PEBB		\$2,909.56
OEBB		\$2,246.10
Public Health		\$1,258.51
Oregon State Hospital		\$1,034.70
Central, Shared Services & SAEC		\$874.20
		\$254.80
		\$2,816.80
		\$2,060.80
		\$1,546.70
		\$1,006.70
		\$812.00

Behavioral Health and Medicaid Divisions were established as new divisions in the 2025-27 biennium and do not have historical budget equivalents for comparison.

About the Comparison

This chart shows how each division's budget in the 2025-27 biennium compares with the 2023-25 biennium. Differences between biennia can reflect legislatively adopted changes, one-time funding, or shifts in program priorities.

Key Observations

- Oregon State Hospital received significant resources in 2025-27 biennia to address changes in client populations.
- Public Health funding decreased, primarily due to the termination of certain federal grants.

Investments by Strategic Pillar

Transforming Behavioral Health

- **Expanded insurance coverage for mental health and substance use treatment.**
- Invested \$65M in residential treatment by **adding nearly 200 new beds** and preserving over 100 existing beds for mental health, addiction recovery, and withdrawal.

Strengthening Access to Affordable Care for All

- Continued investments for the Healthier Oregon program, **maintaining coverage for over 100,000 people.**
- Renewed hospital assessment program, **sustaining Oregon Health Plan coverage for 1.4 million people.**

Fostering Healthy Families and Environments

- **Ensured access to reproductive health care** in response to reductions in federal funding.
- Invested \$2.2 million in Domestic Well Safety to **provide safe water to rural residents.**

Achieving Healthy Tribal Communities

- Invested \$211,729 to create a permanent Native Services program, **offering spiritual and recovery practices at the Oregon State Hospital.**
- Established authority for OHA to **share more health data with Oregon Tribes.**

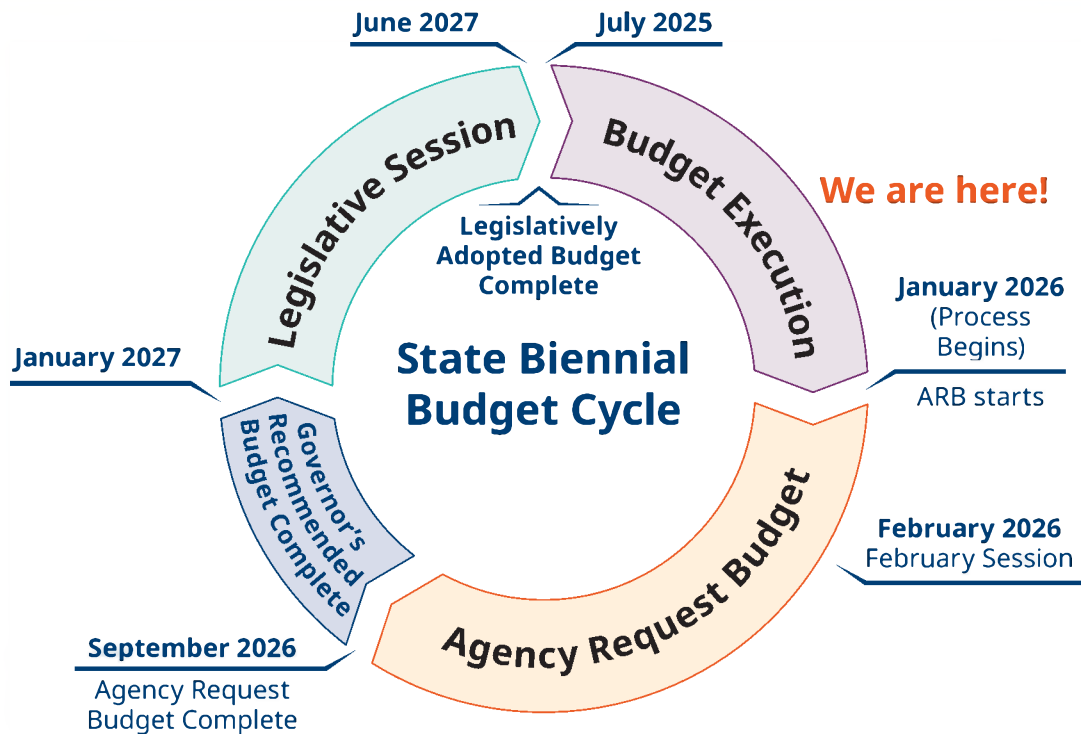
Building OHA's Internal Capacity and Commitment to Eliminate Health Inequities

- Allowed licensed interpreters from recognized states to work in Oregon **helping grow the workforce and access to interpreters.**

Political and Economic Context

- 2025 Legislative session occurred amid uncertainty about federal health care funding and regulation.
- Rising health care costs and increased demand for behavioral health services shaped key investments.

The Budget Cycle: Where We Are and How You Can Engage



Next Steps

- Implement new legislation, from small updates to major new programs, with equity at the center.
- Continue dialogue on bills that did not pass but may return in future sessions.
- Plan for 2027 budget and policy priorities, engaging partners and communities.

How to Get Involved

- [Learn more about the legislative process](#)
- [Attend public meetings](#)
- Learn more about [OHA's strategic plan](#)

Fiscal and Operations Division

Financial Investments and Outcomes Office

<https://www.oregon.gov/oha/fod/pages/financial-investments-outcomes-office.aspx>

